

Court No. - 39

Case :- WRIT - C No. - 24083 of 2021

Petitioner :- M/S Drrivya Management Pvt Ltd.

Respondent :- State Of U.P. And 3 Others

Counsel for Petitioner :- Vishesh Rajvanshi

Counsel for Respondent :- C.S.C.,Baleshwar Chaturvedi

Hon'ble Mrs. Sunita Agarwal,J.

Hon'ble Krishan Pahal,J.

Heard Sri Vishesh Rajvanshi, learned counsel for the petitioner and Sri Baleshwar Chaturvedi, learned counsel for the respondents.

The petitioner herein is purchaser of the property in question in an auction held in the proceedings drawn under the proceeding drawn under the SARFAESI Act, 2002.

It appears that the auction had become final on 27.3.2021 and the sale certificate was issued in favour of the petitioner. It is contended that after taking possession of the property, the petitioner had applied for new electricity connection. The application moved by the petitioner had been rejected on the ground that there is an outstanding due of Rs. 4,35,272/- as against the old electricity connection. The order dated 27.8.2021 rejecting the application for grant of electricity connection moved by the petitioner is the subject matter of challenge in the present petition.

It is argued by the learned counsel for the petitioner that the Electricity Act, 2003 mandates the distribution licensee to grant electricity connection on the application moved by the owner or occupier of any premises. Section 43(2) of the Electricity Act, 2003 has been placed before us to assert that it is the duty of every distribution licensee to provide electricity supply to the premises and in case of failure of the distribution licensee to energize the electricity plant, the electric line or to supply electricity, it shall be liable to penalty.

The contention is that from a perusal of Section 43 of the Electricity Act, 2003, it is evident that the distribution licensee cannot deny electricity connection to any individual or a company, whether owner or occupier of any premises.

It is then stated that the only rider against the petitioner, that is Clause 4.3 (f) of the Electricity Supply Code, 2005 has not been properly read and understood by the distribution licensee while

denying electricity connection to the petitioner. It is contended that as per Clause 4.3(f)(v) of the Code, 2005, it is evident that the recovery proceedings for outstanding electricity dues can be initiated only against the financial institution. In any case, the petitioner herein cannot be said to be responsible for the outstanding dues of the old electricity connection in the auctioned property.

Considering the said submissions, we may note at the outset that there is no recovery proceedings against the petitioner herein. The application moved by the petitioner seeking new electricity connection has been rejected on the ground that there are outstanding electricity dues with regard to the premises in question.

Clause 4.3 of the Electricity Supply Code, 2005 deals with new connections and provides the mode and manner in which new connections are to be given to the applicants. Sub-clause (f)(i) of Clause 4.3 clearly says that it shall be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and before the sale of a premises, the outstanding dues is to be cleared. It has to be specifically mentioned in the date of agreement/sale that how outstanding dues will be cleared, i.e. the mode of its payment. The outstanding electricity dues includes late payment surcharge. Further, both seller and purchaser of the premises, subject matter of sale, will be either/or, jointly and severally liable to pay the outstanding electricity dues and to obtain No Dues certificate from the electricity department.

Sub-clause (iii) further says that in case No dues certificate is not obtained by the old owner, new owner after purchase of the property can apply for No dues certificate. In that case, the licensee shall intimate the pending dues, if any, on the premises or issue No dues certificate.

Sub-clause (v), which has been relied by learned counsel for the petitioner, provides that where a financial institution has auctioned the property without consideration to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance. Sub-clause (v) of Clause 4.3, thus, does not deal with the situation which is before us, rather it provides as to how recovery of dues can be made from a defaulting company and a financial institution.

In view of the admitted fact that there are outstanding electricity dues on the premises in question, no fault could be found in the decision of the electricity department to deny fresh connection. The above provision of the Electricity Supply Code, 2005

clearly states that electricity connection would not be given in case there are outstanding dues with regard to the premises in question.

As regards the submission of the learned counsel for the petitioner that the financial institution/bank which has auctioned the property is liable to clear the outstanding dues and the recovery cannot be made from the auction purchaser, we do not find any reason to deliberate on the said issue as there is no recovery against the petitioner as on date.

For the aforesaid, the writ petition is dismissed. It is, however, open for the petitioner to ventilate its grievances before the financial institution/bank which had auctioned the property.

Order Date :- 10.11.2021

Shalini